MUNDIA & MUDHARA LEGAL PRACTITIONERS

Versus

CHAD NICHOLAS GANDIYA

And

FAITH LUCIA GANDIYA

HIGH COURT OF ZIMBABWE
COMMERCIAL DIVISION
CHILIMBE & V NDLOVU JJ
HARARE 10 July 2025 & 25 February 2026

Civil Appeal

L. Madhuku for the appellant
V.R Muzambi for the respondents

CHILIMBE J

INTRODUCTION

[1] This is an appeal against the whole judgment of the Magistrate`s Court sitting at Harare. The court a quo dismissed, on 3 March 2025, the appellants` specific performance claim for payment of US$50,000 as fees due by the respondents for services rendered.

[2] The appellant ("Mundia Mudhara") is a firm of legal practitioners registered to practice in the jurisdiction in terms of the Legal Practitioners Act [Chapter 27:07] ("the Legal Practitioners Act"). First respondent ("Bishop Gandiya") is a clergyman and second respondent ("Mrs Gandiya") his wife.

THE GROUNDS OF APPEAL AND PRAYER THEREOF

[3] Mundia Mudhara set out their grounds of appeal as follows; -

> "1. The court *a quo* misdirected itself and grossly erred in law in finding that the agreement of sale drafted by the appellant was illegal.

2.The court *a quo* grossly misdirected herself and erred in law in not finding that the appellant was entitled to its fees for the professional services rendered notwithstanding any finding of the court a *quo* relating to the enforcement of the contract of sale."

[4] The appellant prayed thus; -

"1. That the appeal succeeds with costs.

2. That the whole judgement of the court *a quo* is set aside and in its place the following is substituted:

"The Plaintiff's claim is granted. According, the 1st and 2nd Defendants, jointly and severally, the one paying the other to be absolved are ordered to pay:
The sum of US$50 000.00 or the equivalent in Zimbabwe Gold at the prevailing rate on the date of 3payment."
Interest on the amount of US$50 000.00 or on the equivalent in Zimbabwe Gold at the prescribed rate from 12th October 20222 to the date of payment.

Costs of suit on a legal practitioner and client scale".

STATED CASE IN THE COURT A QUO

[5] The matter progressed to trial as a stated case in terms of Order 19 r 6 (3) of the Magistrates Courts (Civil) Rules SI 11 of 2019 ("the Magistrates Court Rules"). A statement of agreed facts and legal issues in contention was filed in terms of that rule and went thus; -

"STATEMENT OF AGREED FACTS

1. Plaintiff is a law firm duly registered and operating as such in terms of the Legal Practitioners Act (Chapter 27:01). Plaintiff filed this action against the 1st and 2nd Defendants in August 2023 for payment of professional legal fees for work done at the instance of the Defendants.

2. In or about October 2022 1st and 2nd Defendant engaged the Plaintiff to draft an agreement of sale of shares in terms of which Ernest and Maggie Taurayi sold their shares to the Defendants.

3. Through its partner Blessing Tafadzwa Mudhara, Plaintiff duly carried out the parties' mandate and drafted the agreement for the sale of shares in the entity known as Gazala Estates (Private) Limited. The Parties signed the agreement on the 14th of October 2022. A copy of the agreement is attached hereto as **Annexure A**.

4. The Parties were aware that Gazala Estates, the property held by the company was listed for compulsory acquisition by the Government of Zimbabwe and that the Sellers were in the process of challenging the compulsory acquisition as the property was owned by indigenous Zimbabweans.

5. In terms of the agreement, the parties to the agreement were to pay the Plaintiff's legal fees in equal shares with such fees being charged in terms of the Law Society Tariff for drafting of such agreement. In terms of such tariff, the fee chargeable is 2% Value Added Tax.

6. Plaintiff subsequently issued invoices to the Defendants who received the invoices and agreed to pay the legal fees due. See attached invoices ad conversation attached hereto as **Annexure B and C**.

7. Defendants failed to pay the agreed legal fees.

8. The question to be decided by the court are as follows:

8.1 Whether the Plaintiff is entitled to payment by the Defendants of the amount claimed as fees for legal services rendered.

8.2 If the agreement is considered illegal whether that disentitles the Plaintiff from its fees from the Defendant.

8.3 Whether Defendants should pay the costs of this suit."

PRINCIPLES APPLICABLE TO STATED CASES

[6] The court a quo was obliged to decide the matter before it on the basis of the statement of agreed facts and issues raised. This is the Supreme Court`s guidance in *Kunonga v The Church of The Province of Central Africa* SC 25-17 where GARWE JA (as he then was) held at paragraphs 22 and 23 that; -

> "22. Once the facts are agreed, the court should proceed to determine the particular question of law that arises and not delve into the correctness or otherwise of the facts. It is bound to take those facts as correctly representing the agreed position and to thereafter determine any issues of law that may arise therefrom. It is not open to the parties to the stated case to seek to re-open the agreed factual position or to contradict such position. Nor can either party seek to ignore existing legal principle or findings of fact made in connection with the same

matter by another court. Of course either party has a remedy at common law, to withdraw any concession made in a stated case owing to *justus error*, fraud, mistake, or any other valid ground.

23. It has become necessary to restate what a stated case is owing to the fact that in some instances, the appellant in this case has made submissions contrary to th stated case brought before the court. The appellant has also ignored in part the decision of this court on which the stated case is predicated. It bears stating that if this happens, a party will be kept strictly to the terms of the agreed facts, as it is on the basis of those facts that the court would have been invited to make a determination on some specific question of law".[Underlined for emphasis]

THE TRIAL COURT`S CONCLUSIONS

[7] Based on the issues and facts placed before it, the trial court noted as follows in its judgment. Mundia Mudhara persisted with their claim for fees on account of the fact that Bishop and Mrs Gandiya were aware of the fact that "… the property in contention had been listed for compulsory acquisition by the Government of Zimbabwe and that the Sellers were in the process of challenging the said acquision"[1].

[8] The trial court acknowledged Bishop and Mrs Gandiya`s defence to the claim. They contended that Mundia Mudhara drafted an unenforceable agreement for them. The court recorded the defendants a quo`s protestations regarding the restrictions imposed by the "Land Acquision (Disposal of Rural Land) Act". The court recognised the defendants` contention that Mundia Mudhara owed them a duty of care.

[9] The court a quo was principally guided by the fact that the contract between the parties was at law a *mandatum* of *lastgeving*. Mundia Mudhara as the mandatary, owed Bishop and Mrs Gandiya a duty of care. The court a quo referred to a passage from *Khuzwayo v Assistant Master of the High Court & Ors* 2007 (1) ZLR 34 per BERE J (as he then was) at 38B; -

> "Legal practitioners are conduits through which litigants' cases are properly put before the courts for determination. They are the professional servants of their clients and can only act on specific instructions from such clients. They are the agents through which litigants' cases are dealt with because of their assumed expertise in the field of law. A legal practitioner cannot, in the absence of specific instructions from his client, speculate on the possible line of defence or position of his client.

[1] At page 6 of the record.

> Doing so would be tantamount to abusing his role to his client and also constitute a stout effort to mislead the court which looks up to him for proper and professional guidance as an officer of the court."

[10] Implicit from the judgment is the conclusion that the Sale of Shares Agreement was illegal. The court dwelt on the duties of a legal practitioner to his client as an officer who had sworn to uphold the law. In that regard, the court a quo made the finding that Mundia Mudhara failed in their duty and rendered incorrect advice to Bishop and Mrs Gandiya.

[11] The fact that the parties to the Sale of Shares Agreement may have been aware of the statutory restrictions impacting their contract did not absolve Mundia Mudhara from duty. They remained seized with their duty of care as legal practitioners. As such, they failed in that duty by sanctioning an agreement that was clearly void at law.

ARGUMENTS BEFORE THIS COURT

[12] Mr *Madhuku*, counsel for the appellant, premised his arguments on two pillars. Firstly, he contended that there was no known law that disentitled a legal practitioner from earning their fee for professional services simply because their draftsmanship produced impugned contractual provisions. He distinguished the professional services rendered by the appellant and the subsequent Sale of Shares Agreement entered into by the parties. Counsel referred to the authority of *Affordable Medicines Trust & Others v Minister of Health & Others* 2006 (3) SA 247 (CC) in support.

[13] He further submitted that the appellant's mandate was limited to drafting a legal document intended to form the basis of an agreement between the parties. That task was duly performed and completed. The contract itself would only come into existence upon signature by the parties. Until that point, the document prepared by the lawyers merely embodied the terms intended to regulate their relationship. Accordingly, whatever the content of the document, the professional service rendered was the drafting thereof, and that service was completed.

[14] It was further argued that the court *a quo* improperly introduced the question of the alleged illegality of the subsequent contract into a claim that was purely for professional fees arising from drafting services. The legality or otherwise of the Sale of Shares Agreement between the parties was therefore a separate matter, unrelated to the appellant's entitlement to

payment for work done. On that basis, counsel submitted that the issue of legality ought not to have been considered in determining the appellant's claim for fees.

[15] In the alternative, and without conceding that the court *a quo* was correct to consider the question of illegality, counsel argued under the first ground of appeal that there was in any event nothing unlawful about the contract that was drafted. The right of first refusal provided for in the applicable regulations did not prohibit parties from entering into an agreement but prohibited the actual transfer of shares without ministerial approval.

[16] In the present case, no such transfer had taken place therefore any alleged illegality would arise only upon transfer without approval, not at the stage of concluding an agreement subject to compliance with statutory requirements. Mr *Madhuku* referred to paragraph 2.3 of the contract, which he argued contained a suspensive condition. He submitted that, an approach to the Minister could only be made once an agreement of this nature existed.

[17] The Sale of Shares Agreement drafted by the appellant expressly contemplated compliance with the statutory framework. It was further submitted that neither the respondent nor the court *a quo* identified any specific clause in the contract that contravened the Land Acquisition Act or the Statutory Instrument. There was likewise no evidence on record to suggest that proper legal advice had not been given. The claim before the court was not one of defective performance, and any alleged additional tasks said not to have been performed did not form part of the appellant's mandate.

[18] Ms *Muzambi*, counsel for the respondent, opposed the appeal and submitted that the professional services rendered by the appellant could not be separated from the contract itself. In her submission, the document reduced into writing by the appellant was the very contract entered into by the parties, and that contract contained provisions contrary to Statutory Instrument 287 of 1999 and the Land Acquisition Act [Chapter 20:10] ("SI 287 of 1999"), in particular sections 2(c), 3 and 4 thereof. She argued that the purpose of the legislation was to prevent private individuals from transferring land or shares without ministerial approval, especially where land had not been gazetted.

[19] Counsel submitted that by aiding the parties to reduce that Sale of Shares Agreement into writing, the appellant facilitated the conclusion of an unlawful contract and could not be entitled to claim fees arising from such conduct. She further argued that the appellant's claim

was founded on the provisions of the very contract it sought to separate from its professional services, specifically clause 8 of the Sale of Shares Agreement. This, she contended, demonstrated that the drafting of the contract could not be divorced from the services rendered, as the contract itself formed the basis of the claim. In conclusion, she submitted that the appellant was not entitled to recover fees for professional services which, in essence, assisted the parties to contract illegally.

[20] In reply, counsel for the appellant maintained that the respondent had failed to demonstrate, as a matter of law, that the contract itself was unlawful. No specific provision or clause in the Sale of Shares Agreement had been identified as offending the statute, nor had the court *a quo* made such a finding based on a particular contravention. He reiterated that section 4 of the relevant Statutory Instrument prohibits the transfer of shares without ministerial approval, not the conclusion of an agreement subject to approval.

[21] The suspensive condition contained in paragraph 2.3 of the contract underscored that compliance with the statutory requirements was contemplated. Accordingly, the appellant maintained that the contract was not unlawful and that, in any event, the professional service of drafting the document remained distinct from the subsequent conduct of the parties, entitling the appellant to its fees.

THE LAW

[22] The obvious starting point is for the court to interpret the parties` contract and give effect to their wishes. This was the observation of the Supreme Court per GUVAVA JA at pages 4-5 in *Ashanti Goldfields Zimbabwe Limited v Jafati Mdala SC 60-17 which held thus; -*

> "The role of the court is to interpret the contracts and uphold the intentions of the parties when they entered into their agreements provided always that the agreement meets all the elements of a valid contract. This principle was set out clearly in the case of *Kundai Magodora & Ors v Care International Zimbabwe* SC 24/14 by PATEL JA when he stated the following:
> "In principle, it is not open to the courts to rewrite a contract entered into between the parties or to excuse any of them from the consequences of the contract that they have freely and voluntarily accepted, even if they are shown to be onerous or oppressive. This is so as a matter of public policy. See *Wells* v *South African Alumenite Company* 1927 AD 69 at 73; Christie: *The Law of Contract in South Africa* (3rd ed.) at pp. 14-15. **Nor is it generally permissible to read into the contract some implied or tacit term that is in direct conflict with its express terms.** See *South African Mutual*

Aid Society v *Cape Town Chamber of Commerce* 1962 (1) SA 598 (A) at 615D; *First National Bank of SA Ltd* v *Transvaal Rugby Union & Another* 1997 (3) SA 851 (W) at 864E-H." (My emphasis). See also *Simbi (Steelmakers) Pvt. Ltd v Shamu & Ors* SC 71/15**."**

[23] Similarly, this duty was expressed in the following terns in *University of Johannesburg v Auckland Park Theological Seminary & Anor [2021] ZACC 13,* the South African Constitutional Court cautioned thus at paragraph [63]; -

> 'It is perspicuous that when a court determines the nature of the parties' rights and obligations in a contract, it is involved in an exercise of contractual interpretation"

[24] Such an exercise in turn, must identify the terms of the contract and assess their validity. In effect, the statement of agreed facts a quo recognised that if the legal practitioners performed their part so as to entitle them to specific performance. This being the position at law as set out in the Supreme Court`s guidance per MALABA DCJ (as he then was) in *Savanhu v Marere NO & Ors* 2009 [1] ZLR 320 at 325 A-C that; -

> "The right to claim specific performance of a contract by the other party is premised on the principle that the appellant must first show that he has performed all his obligations under the contract or that he is ready, able and willing to perform his own side of the bargain. Wessels *The Law of Contract in South Africa* vol 11 para 3135 states that:
>
> 'The court will not decree specific performance where the plaintiff has himself broken the contract unless he can show that he has performed his part or is ready to do so, and therefore he cannot ask for specific performance unless he has either performed his part of the contract or unless he has been prevented from doing so by the defendant.' See also *Wolpert v Steenkamp* 1917 AD 493 at p 499."

[25] But before parties can perform in terms of their contract, such agreements must of course be valid in terms of the law. In *X-Trend-A-Home (Pvt) Ltd v Hoselaw Investments* 2000 [2] ZLR 348(S), the court was concerned with the validity of a contract prohibited by statute. So too did the decision of *York Estates Ltd v Wareham* 1950 [1] SA 125 (SR) address the question of a contract that violated a statutory prohibition.

[26] Again, in *Hativagone & Anor v CAG Farms & 2 Ors* SC 42-15, the Supreme Court returned to address the implications of a contract prohibited by the same s 39 of the Regional Town and Country Planning Act. GOWORA JA followed the approach in *X-Trend-A-Home (Pvt) Ltd v Hoselaw Investments*. I set out the relevant dicta below;

> In *York Estates v Wareham*, it was held thus at page 128; -
>
> "The Court has no equitable jurisdiction to grant relief to a plaintiff seeking to enforce a contract prohibited by law. See *Mathews v Rabinowitz* (1948 (2) SA 876 (W)). In fact, the Court is bound to refuse to enforce a contract which is illegal even though no objection to the legality of the contract is raised by the parties. See *Cape Dairy and General Livestock Auctioneers v Sim* (supra). Furthermore, the Court will not enforce such a contract even though the plaintiff is innocent and the defendant is setting up his own illegality. See *Re Mahmond and Ispahani* (1921 (2), K.B. 716)."
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> GOWORA JA (as she then was) held, at page 13 in *Hativagone v CAG Farms*
> "Where such contract is proscribed by statute, it is invalid and non-compliance with the condition invalidates the whole contract. This principle is well enunciated in *X-Trend-A-Home (Pvt) Ltd v Hoselaw Investments (Pvt) Ltd*[2] wherein MCNALLY JA (as he then was) quoted with approval the words of LEWIS ACJ in *York Estates Ltd v Wareham* 1949 SR 197 who remarked as follows:
> *"*As a general rule a contract or agreement which is expressly prohibited by statute is illegal and null and void even when, as here, no declaration of nullity has been added by the statute."

ANALYSIS OF THE ARGUMENTS

[27] Against the guidance in the authorities set out above, I turn to the facts. The statement of agreed facts tells a straightforward tale. Bishop and Mrs Gandiya instructed Mundia Mudhara to draft a contract. The parties could have embellished their initial contract with further details but they did not. They could have inserted performance standards, timelines, disclaimers, penalties and all else normally inserted in such pacts. Such was not done and it is the business of the parties why such was so. In the statement of agreed facts, the attorneys` obligation was reduced to a simple mandate; - draw up an agreement for sale of shares.

[28] Next, the statement of agreed facts records that this mandate was executed. The agreement was delivered. No mention is made in the statement of agreed facts of the qualitative aspects of the sale of shares agreement. Mundia Mudhara fulfilled their part. The tale proceeds and states that the attorneys thereafter rendered an invoice and the clients

[2] 2000 (2) ZLR 348 (SC) 351

agreed to settle it. Bishop and Mrs Gandiya failed to pay. It is not stated that they refused, protested or raised some other challenge. They simply failed to pay.

[29] At its conclusion, the statement of agreed facts yields to the two legal issues for determination. These being; - (a) whether **based on the facts**, Mundia Mudhara were entitled to payment? and-(b) even if the contractual clauses rendered the agreement inconsistent with the law and illegal? The facts as set out in the agreed statement are watertight insofar as contractual terms and performance were concerned. One may well ask if the matter should therefore not end here with Mr *Madhuku*`s arguments prevailing.

[30] The answer is not quite and here are the reasons. To begin with the statement of agreed facts is exactly what it is. The parties` rendition of the circumstances governing their relationship. But this agreed factual background then invites the court to conduct, based on the legal issues framed, an interpretation of the facts to deduce the parties` terms, rights and obligations. Herein, the court a quo`s conclusions in that regard are being impugned and our duty as the appellate court is to consider the following in that regard.

[31] I turn to the two grounds of appeal and two pillars of Mr *Madhuku*`s argument. The general precepts sounded by counsel on the entitlement of an attorney to his fee may well be correct. But do they properly apply herein? I think not. They may apply where the terms of the attorney-client relationship spell the respective rights, obligations and limitations with clarity. Or during disputes where the court is at large to delve into implied terms. Herein, the question of invalidity acts as an immediate interdict which must be uplifted before the attorney can claim his fee.

[32] On the same note, I do agree with Mr *Madhuku* however, that the court a quo and respondent`s counsel missed the mark on the question of illegality. They conflated two issues; - the role of a mandatary or agent, and the intrinsic validity of the document authored by Mundia Mudhara. The authority cited by the court a quo dealt more with the role and status of an agent as being subordinate to that of his principal and the attendant duties of such agent.

[33] Before the court a quo were facts which related to no quarrel on the agreed facts as regards the agent`s performance. Apart from the legal query raised as to whether the

document drawn up by the attorney was legally valid. That was the core issue before the court a quo and this appeal and I proceed to deal with it.

SECTION 4 OF STATUTORY INSTRUMENT 287 OF 1999

[34] The alleged invalidity arose from violation of the prohibition in the below provision. Mr *Madhuku* argued that nowhere does this section prohibit the sale of shares. A simple comparison of the statute and the agreement in question should resolve the issue. I commence with the relevant provisions of (i) the SI 287 of 1999.

> Section 4 of SI 287 of 1999; -
>
> Minister to be notified before significant transfer of shares in land-owning company
>
> 4. (1) Subject to these regulations, **no person shall *make a significant transfer of shares*** in a land-owning company, **unless he has notified the Minister *of his intention to transfer the shares*** and—
>
> (a)the Minister has issued him with a certificate of no present interest; or
> (b)the Minister has not responded to the notification within the ninety-day period specified in subsection (2) of section 5.
>
> (2) Notification in terms of subsection (1) shall be in writing and shall—
>
> (*a*) specify—
>
> (i)the name and address of the land-owning company concerned; and
> (ii)the number of shares that are intended to be transferred; and
>
> (iii)the price at which the shares are to be transferred; and
>
> (b)describe the nature and extent of the rural land concerned and any buildings or other improvements on the land;
>
> and shall be accompanied by a copy of any share certificate issued in respect of the shares that are intended to be transferred.

[35] Three key issues emerge from the above provision. Firstly, the key conditionality is that "*No person shall make a significant transfer of shares*" without (i) prior notification to the Minister, (ii) his approval thereto, or (iii) no response to such notification within 90 days. Secondly, the notification had to meet the specific requirements of s 4(2) (a) and (b). It can be safely

accepted that no notification meeting such requirements was issued. Nor did counsel for Mundia Mudhara place any reliance on the possible non-response by the Minister in argument.

[36] Which narrows the discussion to one issue; - did Mr and Mrs Taurayi "make a significant transfer of shares" in their land holding company under the Agreement for Sale of Shares drafted by Mundia Mudhara? If they did, then clearly, such was in breach of the provisions of s 4 of SI 287 of 1999. I will turn to the contractual clauses in the said Agreement for Sale of Shares for an answer.

The Agreement for Sale of Shares

[37] In summary, under the Agreement for Sale of Shares, Mr and Mrs Taurayi (as "the Sellers") held 8000 fully paid-up shares being the entire issued share capital in an entity named Gazala Estates (Pvt) Ltd ("Gazala"). The Sellers disposed of this shareholding to Bishop and Mrs Gandiya (as "the Purchaser") for a consideration of US$2,500,000. I may state that per s 2 of SI 287 of 1999, this shareholding qualified as a "significant transfer of shares" for purposes of s 4 of the same SI.

[38] Gazala`s principal assets were two pieces of land described as (a) the Remaining Extent of Tobruk of Clare Estates Ranch Measuring 312,9408 hectares ("Tobruk Ranch"), (b) the Remaining Extent of Gazala of Clare Ranch Measuring 685,3678 hectares ("Gazala Ranch"). An inventory of various buildings and developments was also shared. Below are the specific clauses whose import is self-explanatory; -

> "2. SALE OF SHARES AND LOAN ACCOUNTS
>
> 2. The Sellers hereby sell to the Purchaser who hereby agrees to purchase from the Sellers the entire issued share capital of the Company due to the Sellers for the sum of Two Million Five Hundred Thousand United States Dollars (US$2,500,000) payable as follows; -
>
> 2.1 **One Million Two Hundred and Fifty Thousand United States Dollars** (US$1 250 000,00) **to be paid** to the Seller's nominated bank account **within 5 days of signing this agreement.**
>
> 2.2 The balance of One Million Two Hundred and Fifty Thousand United States Dollars (US$1 250 000,00) shall be paid upon the successful application by the seller **for an order to have the farm delisted from compulsory acquisition by the government.**

2.3 **Should the Sellers fail to successfully apply for the delisting of the farm**, as stated in 2.2 above, the agreement be nullified at the instance of the Purchaser who shall be entitled to a refund of the deposit paid or **alternatively the Purchaser shall keep the shares with the property in its current state and pay an amount of Seven Hundred and Fifty Thousand United States Dollars (US$750 000.00)**

3. TRANSFER OF SHARES

Upon payment of the deposit of the purchase price, **the Sellers shall deliver** to the Purchaser, against payment of the deposit, **the entire issued share capital of the Company to the purchaser**.

4.SELLER'S OBLIGATIONS REGARDING TRANSFER OF SHARES

Upon payment of the deposit of the purchase price, **the Sellers shall deliver to the Purchaser** against payment of the deposit of the purchase price, the following: -

4.1 **Share transfer forms duly signed by the Sellers for the transfer of all the shares held by the Sellers** together with the original certificate covering all such shares so that they are in negotiable order;

4.2 Letters addressed to the Company by its current Directors, Secretary and Public Officers of that company with effect from the date of payment of the purchase price;

4.3 A certified copy of the special resolution of Directors of the Company appointing nominees of the Purchaser as Directors of the Company with effect from the date of payment of the purchase price;

4.4 A certificate from the Secretary of the Company stating that he/she is holding to the order of the Purchaser, memorandum and articles of association and certificate of incorporation of the Company.

[39] Clause 2 set out the payment conditions for the purchase of the shareholding. By clause 2.1 thereof, the Purchaser was obliged to pay the sum of US$ 1,250,000 within 5 days of signing the Sale of Shares Agreement. And per clauses 3 and 4.1 of the same contract, Bishop and Mrs Gandiya would have received transfer of the shareholding Gazala. Obligations were placed upon Mr and Mrs Taurayi not only to execute share transfer forms to pass transfer, but to undertake all other corporate and administrative steps to give effect to the transfer.

[40] This conclusion is borne out by the explicit provisions of the Sale of Shares Agreement. The same contract which Mr *Madhuku* strongly argued was not a transfer of shares agreement. There can be no doubt in my mind that the Sale of Shares Agreement was an

agreement to make a significant transfer of shareholding in Gazala, a land holding company. And that the contract violated the provisions of SI 287 of 1999.

[41] Per the authority of, *York Estates v Wareham; Hativagone & Anor v CAG Farms & 2 Ors; and X-Trend-A-Home (Pvt) Ltd v Hoselaw Investments*, the Sale of Shares Agreement was an illegal agreement prohibited by statute. Even more aggravating is clause 2.3 which sought to circumvent the statutory requirements by permitting a transfer of shares for a discounted purchase price of US$750,000. That clause on its own incurably tainted the agreement. The arguments tendered on behalf of the appellants Mundia Mudhara cannot prevail. Neither will suggestions that the agreement carried conditions precedent redeem the appellants` case.

[42] I say so because in the first instance per the authority of Magodora and countless others, the issue of freedom of contract is an impregnable concept as a matter of public policy. For that same reason, the validity and legality of those same contracts become a public policy concern. See *Agson Mafuta Chioza v Smoking Williams Siziba* SC 4-15; *CBZ Bank Limited v David Moyo & Anor* (supra).

[43] Secondly, on conditions precedent, McNALLY JA rejected what the disingenuous interpretation of such contractual facility in the earlier decision of *Corondimas & Anor v Badat* 1946 AD 548 postulations and held thus at page 152; -

> "Essentially, the reasoning was that the agreement was not an agreement of sale until the suspensive condition relating to compliance with the law was fulfilled. Therefore, it was not hit by the section, and was valid. Once the permit was granted, the agreement ripened into one of purchase and sale. But by then it was lawful, the permit having been obtained. So subsequent repudiation was unlawful. Moser v Milton supra, was distinguished on the grounds that in Moser the defendant resiled before the Minister's approval was granted, whereas in Corondimas he resiled afterwards. I find this distinction difficult to justify. If the agreement in Moser was not a contract of sale, what was it? And if it was not a contract of sale, and thus not hit by the prohibition, and thus lawful, on what grounds could Moser lawfully resile?

DISPOSITION

[44] Against the clear illegality of the product of their toil, the appellants cannot succeed at law in getting an order of specific performance. Moreso given the limited factual

circumscription of the stated case which confined the court a quo. In that regard, the appeal cannot succeed.

It is accordingly ordered that; -

The appeal be and is hereby dismissed with costs.

Mundia and Mudhara -appellant`s legal practitioners
V. Nyemba and Associates-respondent`s legal practitioners.

CHILIMBE J_____

V.NDLOVU J_____ I agree